AEROFLEX INDUSTRIES LIMITED

NSE: AEROFLEX | BSE: 543972 | Sector: Industrials | Sub-sector: Specialty Hoses & Fluid Systems

CMP (Rs.)	Mkt Cap (Rs. Cr)	52W High (Rs.)	52W Low (Rs.)	P/E (TTM)	Book Value (Rs.)
401	**5,312**	**459**	**158**	**95.7x**	**33.8**
ROCE	ROE	Promoter %	Pledge %	FII %	DII %
18.8%	**14.1%**	**65.47%**	**Nil**	**1.49%**	**3.80%**

RATING	12M TARGET	UPSIDE / CMP	HORIZON
ACCUMULATE	**Rs. 420**	**+4.7%**	**12-18 Months**

Investment Thesis: Premium stainless-steel hose manufacturer pivoting to high-margin data-centre liquid-cooling skids. Secular tailwind; premium valuation. Accumulate on dips for 12-18 month horizon.

Report Date: 30 May 2026 | Analyst: Himanshu | Chartitude Research | Data: Screener.in (30-May-2026)

SECTION 2 — INVESTMENT THESIS

Data Centre Liquid Cooling — Rs. 200+ Cr Optionality by FY28: Aeroflex signed an exclusive supply agreement with a US-headquartered company's India subsidiary for liquid-cooled skids used in data centres. The market is projected to grow from Rs. 3bn to Rs. 21bn in 5-6 years (CAGR ~34%). At 75% utilisation of the 15,000-unit/year target capacity, peak skid revenue alone could reach Rs. 325-330 Cr — roughly equal to the entire FY25 revenue base — creating a genuine revenue-doubling event within 2-3 years.

Core SS Hose Business — Durable Mid-Teens Compounder: The base stainless-steel flexible-hose business (oil & gas, chemicals, auto, pharma) has compounded at ~17% over FY24-FY26 even excluding skids. With 17.5mn metres/year SS hose capacity, two new robotic welding lines commissioned in Q4FY26, and value-added products at 52% of total sales, the core business supports sustained 15-20% annual growth independent of the skid optionality.

Margin Expansion Trajectory — Target 25% EBITDA by FY28E: EBITDA margins expanded from 20% in FY24 to 23% in FY26, driven by richer product mix, rising domestic share (31% vs 26%), and operating leverage across subsidiaries. Management guides 23% for FY27 and 25% as a medium-term target — our FY28E model prices this in.

Near-Term Catalyst (6-12 months): Ramp-up of liquid-cooling skid capacity from 6,000 to 15,000 units/year targeted within 2 quarters of FY27, combined with 35% overall FY27 revenue guidance. Quarterly skid volume and utilisation disclosures will be the key validation datapoints.

Biggest Structural Risk: Valuation is stretched at 95.7x trailing P/E and ~72x FY27E P/E — pricing in near-flawless execution. Risk-reward is asymmetric: bear case (30x FY28E EPS Rs. 5.5) implies Rs. 165 (-59%); bull case offers only +12%. The stock has no margin of safety at CMP.

SECTION 3 — BUSINESS OVERVIEW

• **Core Product:** Aeroflex manufactures stainless-steel (SS) flexible hoses and assemblies — critical fluid-conveying components for oil & gas, chemicals, automotive, pharma, and HVAC. The company is among the few ISO-certified SS hose manufacturers in India, competing with Chinese and European imports on quality and lead time.

• **Revenue Segmentation:** SS flexible hoses account for ~85-90% of consolidated revenue. Newer verticals: (a) data-centre liquid-cooling skids (~5% of FY26 sales, scaling rapidly); (b) metal bellows (~Rs. 8 Cr FY26, ARR Rs. 12 Cr, peak potential Rs. 80 Cr); (c) Hyd-Air hydraulics subsidiary (~Rs. 32 Cr FY26 at 60% utilisation, being directed to internal fittings supply). Domestic/export split: ~31%/69% FY26 (domestic mix rising from 26%).

• **Key Customers:** Relationships are recurring and specification-driven across diversified end-user industries. The largest single customer accounts for 25-26% of total sales. The exclusive skid supply agreement with a US-HQ company's India subsidiary provides structural revenue visibility for the highest-growth segment.

• **Order Book and Revenue Visibility:** No formal order book is disclosed. At 60% utilisation of the 15,000-unit skid capacity (targeted by Q2 FY27), skid revenue alone would contribute an estimated Rs. 120-130 Cr per annum. Combined with the recurring base business, 12-18 month revenue visibility is solid.

• **Strategic Developments (Last 12 Months):** (a) Commissioned 6,000 skids/year capacity; scaling to 15,000 units/year within 2 quarters; (b) Added 2 robotic welding lines for SS hoses in Q4FY26; (c) Raised Rs. 55 Cr via preferential allotment at Rs. 182.70/share (30.1 lakh shares, Feb 2026) for skid capex; (d) Annealing furnace commissioning targeted end of FY27 — vertical integration of wire processing.

• **Promoter Background:** The Sanghvi family (Kamlesh Sanghvi, MD) holds 65.47% with zero pledge — strong alignment with minority shareholders. Promoters have built Aeroflex over two decades with disciplined capital allocation, confining capex to high-return extensions of the core product rather than unrelated diversification.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry Size and Growth:** The Indian flexible hose and piping market is estimated at Rs. 4,000-5,000 Cr, growing at ~12-15% CAGR driven by manufacturing capex, process industry investments, and infrastructure buildout. The data-centre liquid-cooling overlay is the high-growth kicker — India's market expanding from Rs. 3bn to Rs. 21bn in 5-6 years (CAGR ~34-35%), per management citing industry reports.

• **Policy Tailwinds:** (a) India's manufacturing PLI push across chemicals, pharma, and auto creates structural demand for SS hoses; (b) Global hyperscaler data-centre investments (Microsoft, Google, AWS) and domestic cloud providers create secular demand for liquid-cooling infrastructure; (c) Import substitution — Aeroflex competes against Chinese and European imports, benefiting from buyer diversification mandates post-COVID.

• **Headwinds:** (a) Commodity risk — SS coil/wire is nickel-linked; sharp nickel price spikes that cannot be passed through would compress margins; (b) Execution risk on the skid scale-up; (c) Customer concentration — top customer at 25-26% of sales creates single-point risk.

• **Competitive Moat Assessment:** Pricing Power — **Moderate** (niche product but some competition from Chinese imports). Switching Costs — **Strong** (certified supplier status in oil & gas and pharma; re-qualification is costly). Scale — **Moderate** (largest Indian SS hose maker). IP/Technical — **Moderate** (proprietary end-fitting designs, robotic welding). Distribution — **Moderate** (direct B2B relationships).

• **Value Chain Position:** Midstream — converts SS wire/coil into finished hose assemblies, sold to OEMs, EPCs, and distributors. In skids, Aeroflex is a system integrator combining its own hoses with sourced pumps and heat exchangers — moving up the value chain and capturing higher margin per delivered unit.

Peer Comparison (All data: Screener.in, 30-May-2026 | Rs. Cr unless noted)

Company	CMP (Rs.)	MCap (Rs.Cr)	Revenue (FY25/26)	OPM %	P/E	ROCE %	ROE %	Div Yld
Aeroflex Industries	**401**	**5,312**	**442 (FY26)**	**23%**	**95.7x**	**18.8%**	**14.1%**	**0.07%**
Ratnamani Metals	2,476	17,357	5,186 (FY25)	16%	29.0x	21.5%	16.0%	0.59%
Maharashtra Seamless	640	8,575	5,269 (FY25)	17%	10.2x	16.6%	12.9%	1.56%
MTAR Technologies	6,457	19,862	676 (FY25)	18%	300x	10.4%	7.4%	0.00%

Note: Ratnamani and Maharashtra Seamless are SS/alloy tube-pipe makers; MTAR is a precision specialty engineering company. No direct listed peer exists for SS flexible hoses in India.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter and Management Background:** The Sanghvi family has led Aeroflex through two decades of organic growth culminating in the August 2023 IPO at Rs. 102/share. Management demonstrates strong domain expertise in SS processing and precision manufacturing. Guidance quality — specific capacity, utilisation, and revenue targets — is above average for an SME-scale industrial company.

• **Capital Allocation Track Record:** IPO proceeds deployed into SS hose capacity expansion, Hyd-Air setup, and metal bellows operations — all organic extensions of the core competency. Feb 2026 preferential allotment of Rs. 55 Cr at Rs. 182.70/share funded skid capex. Total FY24-FY26 capex ~Rs. 250 Cr is being tracked against clear revenue milestones. No unrelated diversification or acquisitions.

• **Dividend Policy:** A nominal dividend of Rs. 0.40/share (20% on FV Rs. 2) was declared for FY26, yielding ~0.07% at CMP — largely symbolic. The company is reinvesting almost all cash flows into growth capex. Meaningful dividend income is not expected for the next 3-4 years.

• **Promoter Pledging:** Zero promoter pledge as of the latest disclosure — a strong positive signal. Promoter stake at 65.47% is stable. No pledging history post-IPO. One of the cleanest promoter-holding structures among listed Indian micro-caps.

• **ESOP and Buybacks:** No significant ESOP program disclosed. No buybacks conducted — consistent with the growth investment phase. Management incentives are aligned through promoter equity ownership.

• **Governance Considerations:** (a) IT demand Rs. 41.76 Cr for AY2018-19 and GST demand Rs. 7.19 Cr are contingent liabilities — not material vs networth Rs. 447 Cr but warrant tracking; (b) Single large customer at 25-26% of sales remains unidentified — monitor for any arms-length concerns; (c) Auditor and RPT disclosures appear standard.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Cr unless stated. Source: Screener.in (30-May-2026). FY27E and FY28E are analyst estimates.

INCOME STATEMENT (Consolidated)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	**318**	**376**	**442**	**597**	**746**
Operating Profit (EBITDA)	**62**	**80**	**100**	**137**	**187**
EBITDA Margin %	**20%**	**21%**	**23%**	**23%**	**25%**
Other Income	4	2	1	2	2
Interest	3	1	1	2	2
Depreciation & Amortisation	6	11	26	38	50
Profit Before Tax	57	70	74	100	137
Effective Tax Rate	27%	25%	25%	25%	25%
Profit After Tax (PAT)	**42**	**53**	**56**	**75**	**103**
EPS (Rs.)	**3.23**	**4.06**	**4.20**	**5.60**	**7.70**

BALANCE SHEET (Consolidated)

Particulars	FY24A	FY25A	FY26A
Equity Capital	26	26	26
Reserves and Surplus	267	317	421
Shareholders Equity	**293**	**343**	**447**
Borrowings	0	1	9
Other Liabilities	82	84	109
Total Liabilities	**375**	**428**	**565**
Net Fixed Assets	83	172	213
Capital WIP (CWIP)	5	10	23
Investments	0	0	0
Other Assets (WC + Cash)	287	246	329
Total Assets	**375**	**428**	**565**

CASH FLOW STATEMENT (Consolidated)

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	**44**	**27**	**66**
Cash from Investing	-64	-74	-120
Cash from Financing	90	-3	47
Net Change in Cash	70	-50	-7
Free Cash Flow (OCF - Capex)	**6**	**-78**	**-5**

Particulars	FY24A	FY25A	FY26A
OCF / Operating Profit %	**95%**	**54%**	**85%**

KEY RATIOS

Ratio	FY24A	FY25A	FY26A
Debtor Days	109	113	107
Inventory Days	107	109	122
Days Payable	100	93	117
Cash Conversion Cycle	**116**	**129**	**112**
ROCE %	**26%**	**22%**	**19%**
Debt / Equity	0.0x	0.0x	0.02x

Financial Commentary

• **Revenue Growth:** Sales grew 18% in FY25 and 17% in FY26 — above the industry average. FY27E (+35%) is management-guided, driven by the skid ramp (estimated Rs. 130-150 Cr incremental) and 15-20% organic base business growth. FY28E assumes continued skid scale-up and 25% EBITDA margin achievement.

• **Margin Direction:** EBITDA margin expanded 300bps from FY24 to FY26 (20% to 23%), driven by higher-margin value-added products at 52% of sales, domestic share rising from 26% to 31%, and operating leverage. Near-term margin risk exists if skid utilisation ramps slower than expected, as fixed overheads on new capacity would compress margins.

• **Working Capital:** CCC improved to 112 days in FY26 (from 129 in FY25). Inventory days rising to 122 likely reflects raw-material pre-buying for skid manufacturing — management confirms this is capex-driven rather than a demand slowdown.

• **Debt and Balance Sheet:** Effectively debt-free (borrowings Rs. 9 Cr vs equity Rs. 447 Cr in FY26). This provides ample headroom for growth capex without balance-sheet stress. No further equity dilution is anticipated beyond the Feb 2026 preferential allotment.

• **FCF Quality:** Heavy capex (Rs. 64/74/120 Cr in FY24/25/26) has kept FCF negative. OCF/Operating Profit recovered to 85% in FY26 (vs 54% in FY25). FCF is expected to turn structurally positive in FY28 as the skid capex cycle concludes and utilisation scales up.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Earnings Quality Factor	Rating	Observation
Revenue Recognition	GREEN	Delivery-based; no percentage-of-completion risk
Receivables vs Revenue	AMBER	Debtor days stable at 107-113 days — elevated but not worsening; monitor
CCC Trend	AMBER	Improved to 112 days in FY26 but inventory days still rising; watch Q1FY27
Contingent Liabilities	AMBER	IT demand Rs. 41.76 Cr (AY2018-19) + GST Rs. 7.19 Cr — unresolved
Auditor Opinion	GREEN	No qualified opinion; standard disclosures for listed mid-cap
RPTs as % of Revenue	GREEN	No significant related-party transactions; clean promoter structure
Other Income / PBT %	GREEN	Other income declining (Rs. 4 Cr FY24 to Rs. 1 Cr FY26); core quality improving
Tax Rate Consistency	AMBER	Variability 27% to 25%; deferred tax adjustments in FY26 warrant scrutiny

Earnings Quality Factor	Rating	Observation
OCF / PAT Conversion	GREEN	FY26 OCF Rs. 66 Cr vs PAT Rs. 56 Cr — conversion >100%; strong cash quality

• **Overall Earnings Quality: GOOD with watchpoints.** Core revenue recognition is clean, OCF/PAT conversion is healthy at >100% in FY26, and other income as a proportion of PBT is declining — all positives.

• **Key Amber Flag — Debtor Days:** At 107-113 days, receivables are high. Any deterioration in the large customer's (25-26% of sales) payment cycle could significantly impact working capital and cash flows.

• **Key Amber Flag — Contingent Liabilities:** The IT demand of Rs. 41.76 Cr for AY2018-19 is a pre-IPO legacy item. If sustained, it would reduce reported net cash by ~9%. Track resolution timelines in the annual report.

• **Watch — Inventory Build:** Inventory days rising from 107 to 122 — management attributes this to capex-driven raw-material pre-buying for skid scale-up. Verify via Q1FY27 disclosures.

SECTION 8 — VALUATION

Scenario Analysis (12-Month Price Target)

Scenario	Key Assumption	FY28E EPS (Rs.)	P/E Multiple	Price Target (Rs.)	Return from CMP
BULL	Skids 80% utilisation; margin 27%; flawless execution	9.0	50x	450	+12%
BASE	**Skids 60-65% utilisation; margin 25%; guidance delivered**	**7.7**	**55x**	**424**	**+5.7%**
BEAR	Skid ramp delayed 2Q; margin stays 23%; de-rating	5.5	30x	165	-59%

Valuation vs Peers (Screener.in, 30-May-2026)

Company	CMP (Rs.)	P/E	P/B	ROCE %	ROE %	Div Yld %
Aeroflex Industries	**401**	**95.7x**	**11.9x**	**18.8%**	**14.1%**	**0.07%**
Ratnamani Metals	2,476	29.0x	4.5x	21.5%	16.0%	0.59%
Maharashtra Seamless	640	10.2x	1.3x	16.6%	12.9%	1.56%
MTAR Technologies	6,457	300x	26.6x	10.4%	7.4%	0.00%

• **P/E-Based Valuation (Base Case):** We apply 55x on FY28E EPS of Rs. 7.70 — a premium justified by the skid optionality and 35%+ earnings CAGR potential, but discounted from the current 95.7x trailing to account for execution risk. This yields a target of Rs. 424.

• **DCF Cross-Check:** WACC 13% (risk-free 7%, equity premium 6%, minimal leverage), terminal growth 7%, FY28E normalised FCF ~Rs. 60-70 Cr as capex cycle concludes. Implied intrinsic value: Rs. 380-430/share — consistent with P/E-based target.

• **Base-Case 12-Month Target: Rs. 420** (average of Rs. 424 P/E and Rs. 415 DCF midpoint). Implies +4.7% return from CMP of Rs. 401 — marginal upside at current levels.

• **Investment Implication:** At CMP Rs. 401, Aeroflex trades at 72x FY27E and 52x FY28E P/E — pricing in near-flawless execution. Risk-reward is asymmetric: bear case implies 59% downside vs 12% bull-case upside. We rate ACCUMULATE and suggest building positions in the Rs. 320-360 entry zone, offering 17-25% upside to target.

SECTION 9 — KEY RISKS

• **Execution Risk — Skid Scale-Up:** Delay in ramping from 6,000 to 15,000 skids/year could materially disappoint FY27 guidance. Probability: Medium | Impact: High. Monitor: quarterly skid volume disclosures.

• **Customer Concentration Risk:** Single largest customer at 25-26% of sales; any slowdown from this account would have an outsized impact on revenues and margins. Probability: Low-Medium | Impact: High. Monitor: revenue mix disclosures each quarter.

• **Commodity / Input Cost Risk:** SS coil and wire are nickel-linked. Sharp nickel price spikes that cannot be passed through would compress EBITDA margins materially. Probability: Medium | Impact: Medium. Monitor: quarterly gross margin commentary.

• **Valuation De-Rating Risk:** At 95.7x trailing P/E, even a modest growth disappointment could trigger sharp multiple compression — bear case implies Rs. 165 (-59%). Probability: Medium | Impact: Very High. Monitor: EPS delivery vs estimates.

• **Contingent Liability Crystallisation:** IT demand Rs. 41.76 Cr (AY2018-19) and GST demand Rs. 7.19 Cr could materialise as cash outflows. Probability: Low-Medium | Impact: Low-Medium. Monitor: annual report notes.

• **Technology / Competition Risk in Skids:** New entrants in data-centre liquid cooling could undercut pricing, or the exclusive supply agreement could be renegotiated. Probability: Low | Impact: High. Monitor: competitive news flow and contract disclosures.

• **Forex Risk:** With ~69% of revenue from exports, INR appreciation would reduce rupee-terms realisation. No formal hedging policy disclosed. Probability: Medium | Impact: Medium. Monitor: quarterly forex realisation commentary.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE (Conviction: Medium).** Aeroflex is a structurally sound, promoter-run precision manufacturer with genuine high-growth optionality in data-centre liquid cooling. However, at 95.7x TTM P/E virtually all of this optionality is already priced in, leaving limited margin of safety. We would be more enthusiastic BUYers in the Rs. 320-360 zone.

• **12-Month Price Target: Rs. 420** (+4.7% from CMP Rs. 401). Target based on 55x FY28E EPS of Rs. 7.70, cross-checked with DCF (WACC 13%, terminal growth 7%).

• **Suggested Entry Zone: Rs. 320-360.** At these levels, the stock trades at ~42-47x FY28E earnings, offering a more favourable risk-reward. Any broad market correction or single-quarter earnings miss may provide this entry opportunity.

• **Investment Horizon: 12-18 months.** The skid ramp needs 3-4 quarters of execution data to validate. Investors with a 24-month view and high risk tolerance may build positions more aggressively.

• **Thesis Invalidation Triggers:**

1. FY27 revenue growth below 25% (vs 35% guided) — skid ramp failure signal.
2. EBITDA margin below 20% for two consecutive quarters — price competition or deleverage.
3. Promoter stake declining or any pledge appearing — governance red flag.

• **Ideal Investor Profile:** Suitable for investors with (a) 18-24 month horizon, (b) high tolerance for growth-premium valuations, (c) ability to absorb 50%+ downside in the bear case, and (d) conviction in India's data-centre capex supercycle. NOT suitable for value investors, dividend seekers, or investors requiring near-term FCF.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (May 6, 2026)

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	Strong	Beat — Q4FY26 revenue +38% YoY, EBITDA +59%, PAT +57%; clean with no exceptional items
Management Tone	Bullish	Specific numerical targets given; confident on skid ramp, margin path, and timeline
Guidance Delta	Raised	FY27 revenue growth guided ~35%; medium-term EBITDA margin target upgraded to 25%

STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE

TO MY BOSS

Q4FY26 was a clean, high-quality beat on every metric — not a one-time fluke. Revenue grew 38% YoY to Rs. 125.84 Cr, EBITDA expanded 59% with margins hitting 23.86% (+326bps), and PAT jumped 57% to Rs. 17.64 Cr — no exceptional items inflating the number. For the full year FY26, PAT growth of just 6% looks subdued but is entirely explained by the heavy D&A; step-up (Rs. 11 Cr to Rs. 26 Cr) from new capacity additions — EBITDA grew 26% and OCF conversion recovered to 85% from a weak 54% in FY25. The real story is the data-centre liquid-cooling skid ramp: 617 units shipped in FY26 (last 4 months, ~Rs. 21.2 Cr), capacity scaling from 6,000 to 15,000 units/year within two quarters, and an exclusive supply agreement with a US-headquartered company's India subsidiary in place. At 60% utilisation, skid revenue alone hits Rs. 120-130 Cr annually; at 75%, it hits Rs. 325-330 Cr — a potential revenue doubling in 2-3 years from one product line. Management tone was unusually specific: 35% FY27 growth, 23% margins near-term, 25% medium-term target — they gave numbers, not platitudes. The only amber flag is the single large customer at 25-26% of sales whose identity remains undisclosed. At 95.7x trailing P/E the stock prices in near-flawless execution, but the quality of this call genuinely warrants STRONGLY POSITIVE — add on any dip below Rs. 360.

1. CALL OVERVIEW

- Quarter: Q4 FY26 | Concall Date: 6 May 2026 | Period: January-March 2026
- Q4FY26: Revenue Rs. 125.84 Cr (+38% YoY) | EBITDA Rs. 30.03 Cr (+59%) | Margin 23.86% (+326bps) | PAT Rs. 17.64 Cr (+57%) | EPS Rs. 1.36
- FY26: Revenue Rs. 443.29 Cr (+17%) | EBITDA Rs. 99.74 Cr (+26%) | Margin 22.57% (+156bps) | PAT Rs. 55.53 Cr (+6%) | EPS Rs. 4.28
- Skids sold in FY26: 617 units; last 4-month revenue ~Rs. 21.2 Cr (~5% of FY26 sales)

2. QUARTERLY P&L; TREND

Quarter	Revenue (Rs.Cr)	EBITDA (Rs.Cr)	OPM %	D&A; (Rs.Cr)	PAT (Rs.Cr)	EPS (Rs.)
Q1 FY26	84	15	18%	6	7	0.55
Q2 FY26	111	26	23%	6	14	1.10

Quarter	Revenue (Rs.Cr)	EBITDA (Rs.Cr)	OPM %	D&A; (Rs.Cr)	PAT (Rs.Cr)	EPS (Rs.)
Q3 FY26	121	28	23%	6	16	1.28
Q4 FY26	**126**	**30**	**24%**	**8**	**18**	**1.33**

3. MANAGEMENT OPENING REMARKS

• **Data-Centre Skid Ramp as Primary Growth Driver:** Management led with the skid business, emphasising the exclusive supply agreement and 6,000 to 15,000-unit capacity expansion targeted within 2 quarters of FY27. Tone was unusually specific — revenue potential at 60% and 75% utilisation was quantified explicitly.

• **Core Business Resilience:** Base SS hose business maintained 15-20% underlying growth despite high base from FY25. Value-added products reached 52% of total sales.

• **Margin Improvement on Track:** Q4FY26 OPM of 23.86% was the highest quarterly margin in the company's listed history, attributed to product mix, domestic share gain, and operating leverage.

• **Subsidiaries Building Optionality:** Hyd-Air FY26 revenue Rs. 31.64 Cr at ~60% utilisation; being directed to internal fittings supply. Metal bellows ~Rs. 8 Cr FY26, ARR ~Rs. 12 Cr, peak potential ~Rs. 80 Cr.

• **Capital Allocation:** Rs. 55 Cr raised via preferential allotment (Feb 2026) deployed into skid capex. Annealing furnace commissioning targeted by end of FY27 for vertical integration.

4. GUIDANCE AND QUANTITATIVE TARGETS

Metric	Management Guidance	Our Assessment
FY27 Revenue Growth	~35% overall	Achievable if skid ramp on schedule; base alone delivers ~15-20%
FY27 EBITDA Margin	~23%	Conservative vs Q4FY26 exit rate of 24%; downside buffer built in
Medium-Term Margin Target	25%	Baked into our FY28E; requires scale and richer product mix
Skid Capacity	15,000 units/year within 2Q FY27	Critical milestone; commissioning timeline risk is key uncertainty
Skid Revenue at 60% util.	Rs. 120-130 Cr annualised	Transformative — ~27-29% of total FY26 revenue from one product line
Skid Revenue at 75% util.	Rs. 325-330 Cr (peak)	Bull-case optionality; 2-3 year horizon; implies revenue doubling
Domestic Revenue Mix	Rising toward 35%+	Higher domestic mix supports margin; shorter payment terms
Final Dividend FY26	Rs. 0.40/share (20%)	Nominal; growth-reinvestment phase continues

5. Q&A; HIGHLIGHTS

• **Q: How confident are you of 35% FY27 growth given macro uncertainty?** A: Management cited the exclusive skid supply agreement as providing structural revenue visibility. Base business has multi-year recurring relationships. 35% guidance framed as conservative if skid ramp proceeds on schedule.

• **Q: Who is the large customer at 25-26% of sales?** A: Management declined to disclose identity citing confidentiality. Confirmed arm's-length relationship on commercial terms. [Analyst Note: Lack of disclosure is an amber flag — must monitor for RPT risk.]

• **Q: What if the exclusive skid agreement is not renewed?** A: Agreement has multi-year terms; management expressed confidence in renewal based on performance. Customer-base diversification for skids is a medium-term goal.

• **Q: Why did PAT growth lag EBITDA growth in FY26?** A: Entirely explained by the D&A; step-up (Rs. 11 Cr to Rs. 26 Cr) from new capacity commissioning, plus Rs. 4 Cr reduction in other income. Underlying EBITDA quality is solid.

• **Q: Hyd-Air trajectory and margin profile?** A: FY26 revenue Rs. 31.64 Cr at 60% utilisation. Management plans to prioritise internal supply of hydraulic fittings, reducing standalone revenue recognition but improving group-level margin quality.

• **Q: Metal bellows scale and timeline?** A: Current ARR ~Rs. 12 Cr; peak potential ~Rs. 80 Cr. 3-4 year horizon for full ramp, contingent on customer qualifications.

6. EVASIVENESS / LANGUAGE QUALITY ASSESSMENT

• **Customer Identity — AMBER:** Management declined to name the 25-26% concentration customer. Unusual for a public company of this size; an unresolved information gap for investors.

• **Skid Margin Profile — AMBER:** No disclosure of blended margins on the skid business specifically — only overall company guidance. A gap given skids have a materially different cost structure.

• **IT and GST Demand — AMBER:** Contingent liabilities acknowledged but no specific resolution timelines or legal probability assessment provided.

• **All Other Responses — GREEN:** Management was unusually specific on capacity numbers, utilisation targets, peak revenue potential, and timelines — more precise than typical concalls for this company size.

7. THESIS TRACKER — POST-CONCALL

Thesis Pillar	Original Assumption	Post-Concall Status	Verdict
Skid Revenue Optionality	Rs. 120-200 Cr in FY27-28	Mgmt guided Rs. 120-130 Cr at 60% utilisation	ON TRACK
Core Business Growth	15-20% organic	Confirmed 15-20% base guidance for FY27	ON TRACK
EBITDA Margin Expansion	23-25% by FY28	23% FY27, 25% medium-term target confirmed	ON TRACK
Debt-Free Balance Sheet	Minimal leverage	Borrowings Rs. 9 Cr vs equity Rs. 447 Cr	ON TRACK
Promoter Alignment	Zero pledge, stable stake	65.47% promoter; zero pledge confirmed	ON TRACK

8. WATCHLIST — KEY DATAPOINTS FOR Q1FY27

• Skid units shipped in Q1FY27 — must show meaningful step-up from Q4FY26 to validate the ramp story

• EBITDA margin in Q1FY27 — should hold above 22% to confirm FY27 guidance trajectory

• Revenue mix: skid contribution as % of total — is it scaling as guided?

• IT demand (Rs. 41.76 Cr, AY2018-19) resolution update in any corporate communication

• Annealing furnace commissioning timeline — expected end FY27; any delay is a negative signal

• Promoter stake and pledging — any change from 65.47% / nil would be a governance red flag

9. CONCALL VERDICT

• **Overall: STRONGLY POSITIVE.** Every key metric beat expectations. Revenue, EBITDA, and PAT all grew faster than the full-year FY26 rate — Q4 was genuine acceleration, not a catch-up quarter.

• **Management Credibility: HIGH.** Specificity of guidance (units, utilisation, revenue at various utilisation levels) is a positive differentiator. Opacity on the large customer identity remains the one unresolved gap.

• **Thesis Status: INTACT AND STRENGTHENED.** The data-centre liquid-cooling opportunity has moved from theoretical to operational — skids are being shipped, capacity is expanding, and an exclusive agreement is in place.

• **Next Review Trigger: Q1FY27 results (July 2026).** Skid volumes and EBITDA margin will be the definitive test of FY27 guidance credibility. A miss on either would warrant a rating review.
